Bartle's reasons for the amalgamation were essentially sound. One of them (Calcutta) had intimate and direct contact with the Government of India whereas on the other hand the government had no direct control over banking operations in Bombay; and the Bombay establishment had no direct connection with the Government of India being subjected to indirect influences. Sir Bartle's plea fell on deaf ears. It was only later in 1867 when the Bank of Bombay (which had been acting as the agent of the Bank of Bengal) came under the threat of liquidation, that a proposal for amalgamation of the three banks into a 'Central bank of India' (based on a scheme drawn up by G. Dickson, Secretary and Treasurer of the Bank of Bengal) was put forward by the Directors of the Bank of Bengal. Thus, it was expediency rather than any grand vision of a central bank which prompted this move to amalgamate.[5]

The proposed bank was to have an authorized capital of ₹10 crores and a paid-up capital of ₹5 crores. The control was to vest in the Board at Calcutta with Local Boards at Bombay and Madras. While the Directors of the Bank of Bombay approved the proposal, it was rejected by the shareholders. Even the Viceroy, Sir John Lawrence, developed cold feet fearing the power of an amalgamated bank. He also expressed doubts about India having the personnel to manage such a bank.[6]

Besides amalgamation other suggestions included, the setting up of 'one State Bank of India' under complete government control modeled on the Bank of France, and a central bank of issue on the lines of the Netherlands Bank. The question of amalgamation came to the forefront once again in 1898 when several witnesses deposing before the Indian Currency Committee (Fowler Committee) drew attention to the inadequate banking facilities in India. One of them, A de Rothschild, outlined a scheme of a bank with privileges similar to those of the Bank of England. Everard Hambro, one of the members of the Fowler Committee, argued persuasively for the establishment of a strong bank in India which would be able to carry out currency regulation more effectively and also expand the supply of capital in times of pressure and contract it when times were slack. Hambro's scheme got the approval of the Secretary of State who asked the Government of India to give it a serious thought. The Government of India which till 1871 had been less than sanguine about the possibility of finding suitable personnel to man the bank gave Hambro's suggestion full support.